

HEAVY HITTERS

Spurred by the government's infra push, these heavy industry bellwethers have performed exceptionally well financially

Company	Rank 2022/2021	Average market capitalisation*	Total income	Profit after tax	ROE (%)	TTM P/E (x)
Larsen & Toubro	20/19	₹2,50,795.73 crore (28.4)	₹1,63,493.02 crore (15.0)	₹10,291.05 crore (120.4)	13.1	29.54
Vedanta	42/54	₹1,19,246.62 crore (48.5)	₹1,35,332.00 crore (48.0)	₹23,709 crore (57.7)	37.2	7.04
Coal India	44/50	₹1,13,178.87 crore (32.3)	₹1,13,861.19 crore (20.8)	₹17,387.01 (36.9)	43.7	5.88
Hindalco Industries	49/56	₹1,03,413.16 crore (40.2)	₹1,96,295 crore (46.9)	₹14,195 (174.2)	19.6	7.10

*FROM OCTOBER 1, 2021, TO SEPTEMBER 30, 2022; TOTAL INCOME, PAT AND ROE FOR FY22; P/E MULTIPLE AS OF NOVEMBER 7, 2022, TTM IS TRAILING 12 MONTHS; FIGURES IN BRACKETS ARE PERCENTAGE CHANGE YOY; RESULTS ARE ON A CONSOLIDATED BASIS
SOURCE ACE EQUITY

According to Vipul Prasad, Founder & CEO of Magadh Capital Advisors, Hindalco has done well to reduce earnings volatility by expanding its footprint in the fast-growing downstream businesses and widening its geographical mix. "Vedanta has continued to lighten the balance sheet, capture large portions of the material value chain, and diversify its product mix. More focus on a reduction in carbon footprint, more cost structure improvement and scaling up are other factors that can aid valuation multiples for the two stocks," he says.

A **NOTHER COMPANY THAT** has done well is public sector major Coal India, which is at No. 44 on the BT500 list. A key priority for it has been to increase productivity through cost-cutting. From FY14 to FY22, Coal India has been curtailing its

workforce at a CAGR of 4 per cent, says Aditya Welekar, Senior Research Analyst at Axis Securities. "Between FY19 and FY22, it has achieved a 13 per cent reduction in its employee base, which now stands at 254,000 employees," he says. But there are more reasons why Coal India has done well. Welekar points to the closure of underground mines as one more area, where at the end of the last fiscal, they accounted for 38 per cent of the workforce but contributed only 4 per cent to total production. Another positive has been the clubbing of e-auctions, he says. Five independent e-auctions have been combined into one for the sake of simplicity. "This has led to higher participation from the non-regulated sectors... and clubbing these [e-auctions] means a uniform market-discovered price for the same grade of coal," he says. The Russia-Ukraine conflict also led to higher natural gas prices and "drove

a shift towards coal-fired power generation in Europe, leading to higher demand for coal and [higher] prices as well." Prasad adds that it is now being increasingly accepted that coal will remain the mainstay for India's power requirement for another 25-30 years. "With its utility-like characteristics, strong cash flows, robust volume-led top line growth and a solid balance sheet, Coal India looks attractive."

Coming to infrastructure, L&T (No. 20 on the BT500 list) is expected to gain substantially going ahead. "It has tried to become asset-light, and the approach is to not use the balance sheet for asset ownership. Now, we see the defence theme picking up and that will add a lot of tailwinds to L&T. Some of the best years of L&T might be just ahead of us," says Go India's Arora. Besides, L&T also depends on capex in oil and gas and hydrocarbons for the growth of its order book.